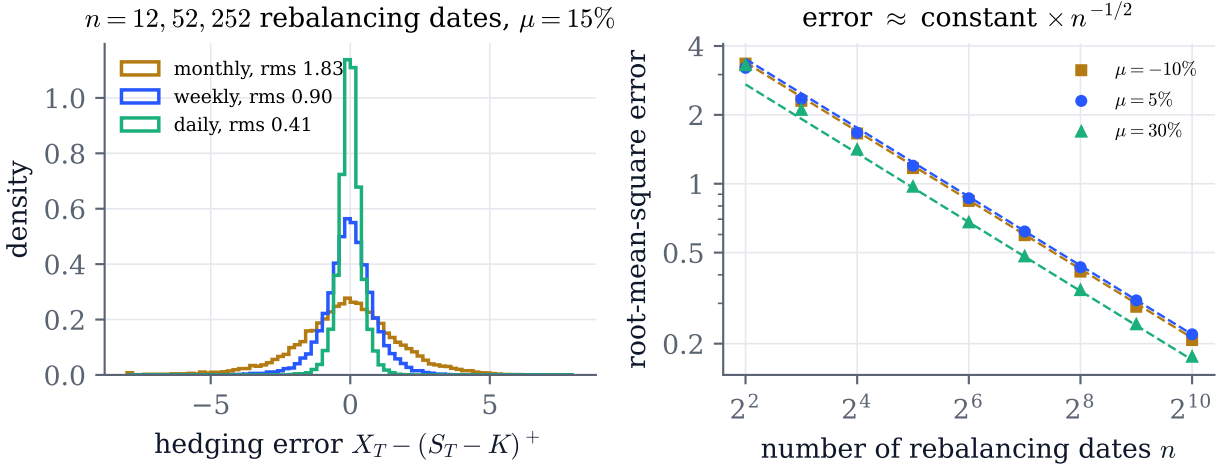
$n = 12, 52, 252$ rebalancing dates, $\mu = 15\%$
monthly, rms 1.83
weekly, rms 0.90
daily, rms 0.41
density
0.0
0.2
0.4
0.6
0.8
1.0
−5
0
5
hedging error $X_T - (S_T - K)^+$
error $\approx$ constant $\times\, n^{-1/2}$
root-mean-square error
4
2
1
0.5
0.2
$\mu = -10\%$
$\mu = 5\%$
$\mu = 30\%$
2^2
2^4
2^6
2^8
2^{10}
number of rebalancing dates n